

CONFIDENTIAL INVESTMENT MEMORANDUM

ROSAMOND TOWNHOMES

356-Unit Duplex + ADU Community

Rosamond, California — Kern County

\$118.2M

Total Project Cost

\$10.0M

Foreign LP Equity

17.9%

10-Yr IRR

3.24x

10-Yr Equity Multiple

INVESTMENT THESIS

Six structural pillars that de-risk the investment and drive outsized returns



Military-Backed Demand

Edwards AFB + Plant 42 create DoD-backed rental demand via BAH. 95%+ occupancy floor.



EB-5 Immigration Capital

22 EB-5 investors contribute \$17.6M at below-market returns, motivated by green cards.



Foreign Tax Blocker

30/70 leveraged C-Corp + PIE debt. Reduces tax from 30.3% to 4%. +621 bps IRR.



C-PACE + LIHTC Debt Optimization

LP equity reduced 41% (\$17M→\$10M). C-PACE + LIHTC bonds replace conventional debt.



EB-5 Real Estate Ownership

EB-5 investors gain direct U.S. real estate ownership plus immigration benefit.



Offshore Fund Structure

Singapore GP pools foreign capital. Institutional governance with tax-blocker at fund level.

MARKET THESIS: ROSAMOND & EDWARDS AFB

THREE DEMAND ENGINES



Edwards Air Force Base

USAF primary flight test center. 741 on-base homes, 132-family waitlist. Families living in RVs.



Plant 42 Aerospace Corridor

Northrop Grumman (B-2, Global Hawk), Lockheed Skunk Works (F-22, F-35). 100+ open positions.



AI Data Center Initiative

2,115 acres at Edwards for AI data centers. \$500M+ min investment per site. 200–500 jobs/facility.

MARKET SNAPSHOT

Population	21,455
Median HH Income	\$77,773
Median Home Value (sold)	\$420,000
New Construction Medium	\$463,000
K. Hovnanian Monterosa	\$469,990-\$546,990
Legacy Homes Terra Sol II	\$499,990-\$520,517
Available Rentals	6–14 at any time
Crossings 2BR Apt Rent	\$2,295/mo
Crossings 3BR Apt Rent	\$2,395/mo
3BR House Asking Rent	\$2,500–\$2,995

BAH: THE GOVERNMENT RENT SUBSIDY

Tax-free DoD housing allowance creates a government-guaranteed income floor

Pay Grade (Rank)	With Dep.	W/O Dep.	Unit Target
E-4 (Sr Airman)	\$2,475	\$1,887	ADU (\$1,800)
E-5 (Staff Sgt)	\$2,658	\$2,148	ADU or Duplex
E-6 (Tech Sgt)	\$3,156	\$2,292	Duplex (\$2,500)
E-7 (Master Sgt)	\$3,195	\$2,409	Duplex (\$2,500)
O-3 (Captain)	\$3,264	\$2,976	Duplex (\$2,500)
O-4 (Major)	\$3,597	\$3,078	Duplex (\$2,500)

DUAL PRODUCT STRATEGY

178 Duplex Units – 1,500 SF (3 BR)

\$2,500/mo — targets E-6+ families
BAH of \$3,156+ provides \$650+/mo surplus

178 ADU Units – 800 SF (2 BR)

\$1,800/mo — targets E-4/E-5 unaccompanied
BAH of \$1,887–\$2,238 fully covers rent

356 units absorb ~120% of the existing Edwards AFB housing deficit — new construction at \$2,500 beats aging 3BR houses (\$2,500–\$2,995) and Crossings apartments (\$2,395)

PROJECT DESIGN & SCOPE

20.16 ac

Site Area

89

Duplex Lots

356

Total Units

17.6

DU / Acre



Duplex + 2 ADU Lot Plan — Center Garage Layout (77.5' x 77.5')

Unit Type	Count	Size (SF)	Config	Rent
Duplex Unit	178	~1,500	3BR/2.5BA/2-Car	\$2,500
ADU (Detached)	178	~800	2BR/2BA/Parking	\$1,800
TOTAL	356	409,400	—	—

KEY DESIGN FEATURES

- Center-garage duplex — optimized sound separation
- Open-concept plans with in-unit laundry & smart home
- 3 independent access points — full fire code compliance
- Dual detention basins (1.03 ac, 5.11% of site)
- Integrated solar on all duplex + ADU rooftops

MASTER PLAN — ALTERNATIVE 6

89 Lots / 356 DU — Hook Ave & 15th St W, Rosamond, CA — v16 (03/15/2026)



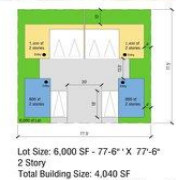
SITE AREA: 20.16 ac - 878,033 sf

Gross Density 17.6 du/ac

HOMES - Duplex - 6,000 SF Lots
1,400 SF/unit 89 Duplexes - 178
800 SF/unit ADU - 178
356

PARKING

DETENTION BASIN
Area : 1.0 Acres



Alternative 6 - 03/15/2026

OPTION 1

Hook Avenue & 15th Street West - Rosamond, California

20.16 ac
 Site Area

1,320 × 665 ft
 Dimensions

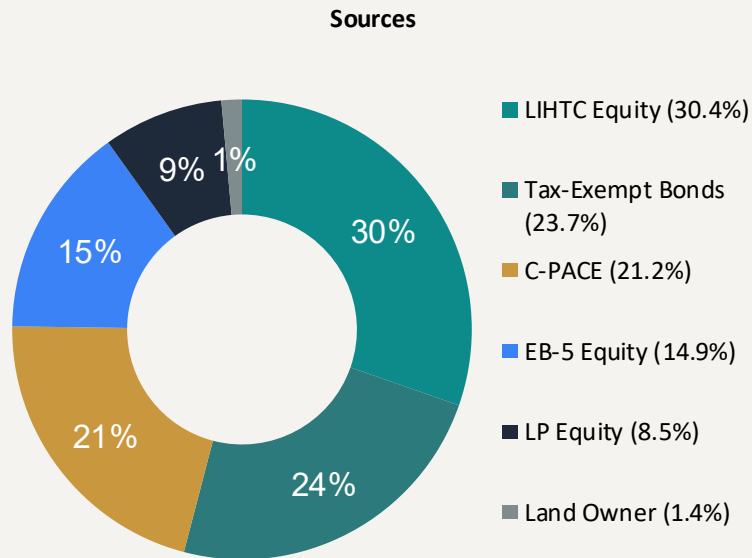
7 Rows
 Lot Layout

3 Access Pts
 Fire Code

1.03 ac
 Detention Basins

CAPITAL STRUCTURE & SOURCES

C-PACE + 4% LIHTC Tax-Exempt Bond + LIHTC Equity — "Golden Capital Stack"



Source	Amount	%
LIHTC Equity (non-repayable)	\$35,880,000	30.4%
Tax-Exempt Bonds (PAB 4.0%/35yr)	\$28,042,047	23.7%
C-PACE Assessment (6.0%/30yr)	\$25,000,000	21.2%
EB-5 Investors (22 investors)	\$17,600,000	14.9%
LP Equity — Foreign Fund	\$10,000,000	8.5%
Land Owner Contribution	\$1,700,000	1.4%
TOTAL	\$118,222,047	100.0%

WATERFALL DISTRIBUTION

- Tier 1 — Land Owner: Return of \$1.7M (first priority)
- Tier 2A — LP Equity: 8% pref return + return of capital
- Tier 2B — EB-5: 5% pref return + return of capital
- Tier 3 — Developer Promote: 20% of above-pref profits
- Tier 4 — Residual: LP full pro-rata to 12% IRR, reduced share above

FINANCIAL PROJECTIONS

STABILIZED PERFORMANCE (Year 3+)

Effective Gross Income	\$9,941,753
Total Operating Expenses	(\$2,695,776)
Net Operating Income (NOI)	\$7,245,977
Annual Debt Service (Combined)	(\$3,318,641)
Cash Flow After DS	\$3,927,336
Cap Rate (NOI / Cost)	6.13%
DSCR (Combined)	2.18x

EXIT VALUATION

Metric	5-Year	10-Year
Exit NOI	\$7,726,330	\$9,065,063
Sale Price	\$140,478,720	\$164,819,324
Debt Payoff	(\$49,197,281)	(\$44,302,823)
Net Equity at Sale	\$88,471,865	\$117,220,115

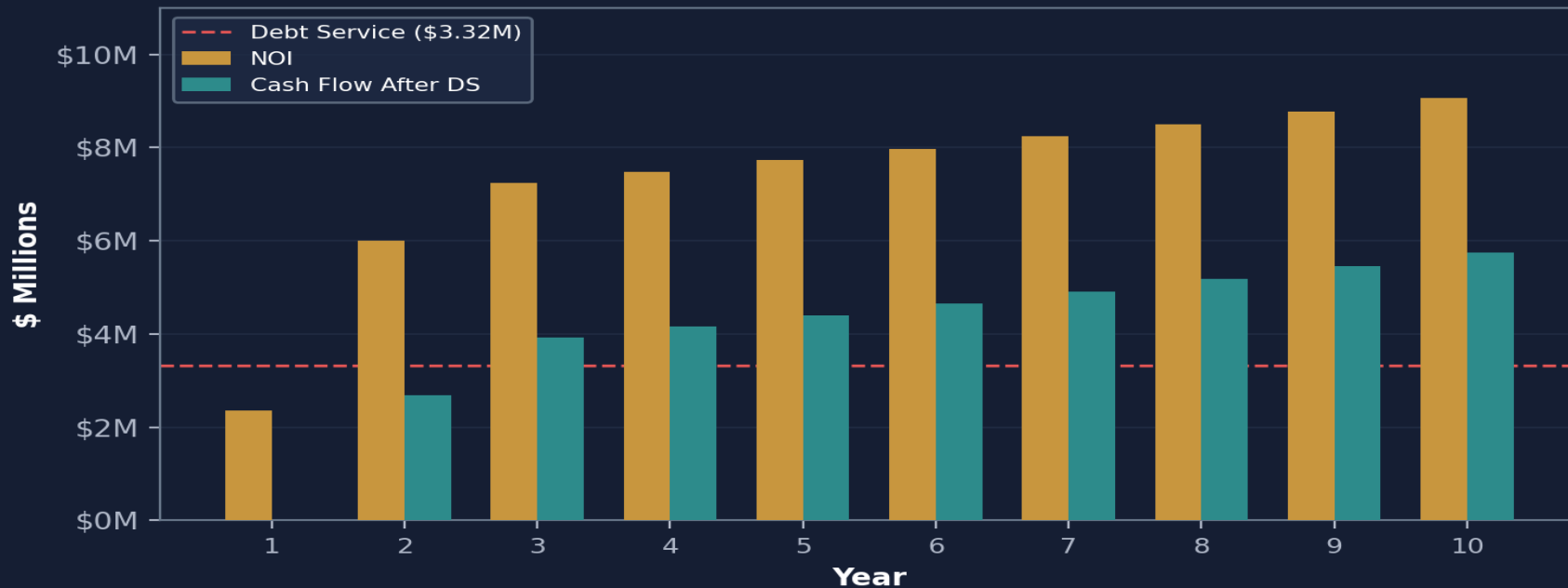
LP EQUITY INVESTOR RETURNS (C-PACE + LIHTC Stack)

Component	5-Year	10-Year
Capital Invested	\$10,000,000	\$10,000,000
8% Preferred Return	\$4,000,000	\$8,000,000
Residual Cash (Tier 4)	\$4,919,536	\$14,404,214
TOTAL LP RETURN	\$18,919,536	\$32,404,214
LP Equity Multiple	1.89x	3.24x
LP Net IRR (pre-blocker tax)	15.9%	17.9%

10-YEAR CASH FLOW PROJECTION

NOI growth from \$0.9M (Year 1) to \$9.1M (Year 10) | Debt service fixed at \$3.32M/yr

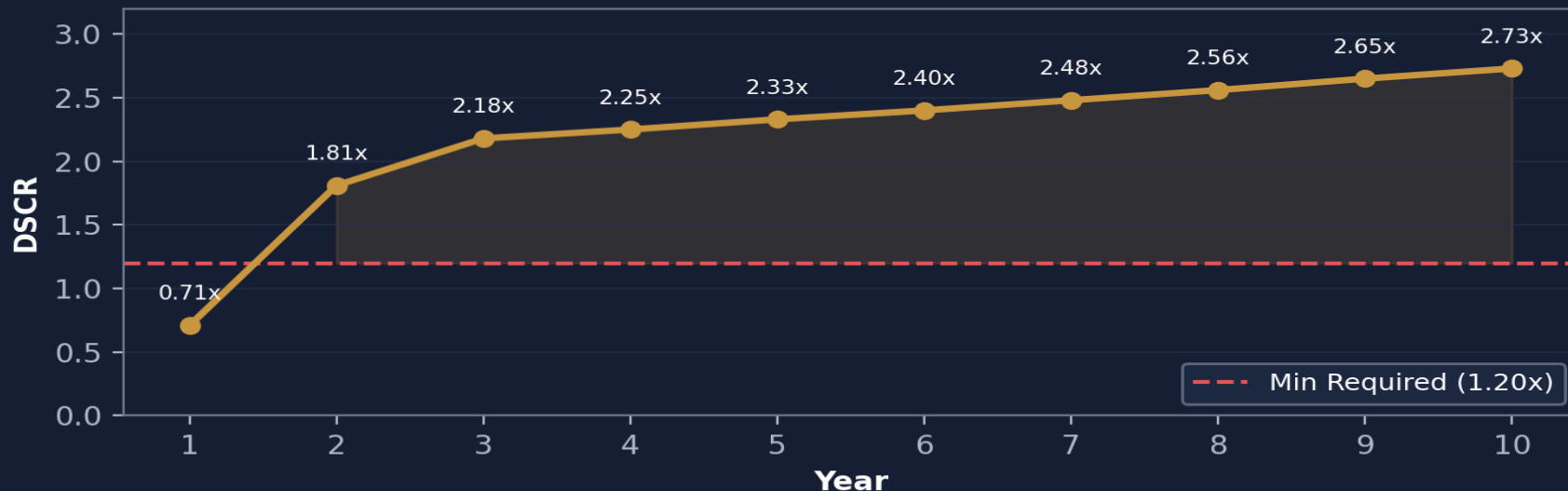
10-Year NOI & Cash Flow After Debt Service



DEBT SERVICE COVERAGE RATIO

DSCR exceeds 1.20x minimum by Year 2 and grows to 2.73x by Year 10 | Combined DS: \$3.32M/yr

Debt Service Coverage Ratio — 10-Year Projection



2.18x

Stabilized DSCR
(Year 3)

2.73x

Year 10 DSCR

\$3.32M

Annual Debt
Service

\$7.25M

Stabilized NOI

LP EQUITY RETURNS — 10-YEAR PROJECTION

Annual distributions grow from \$0.6M to \$1.9M | Cumulative operating cash flow: \$15.9M over 10 years

LP Equity Distributions — Annual & Cumulative



1.89x

5-Yr LP Multiple
(Pre-Tax)

3.24x

10-Yr LP Multiple
(Pre-Tax)

13.9%

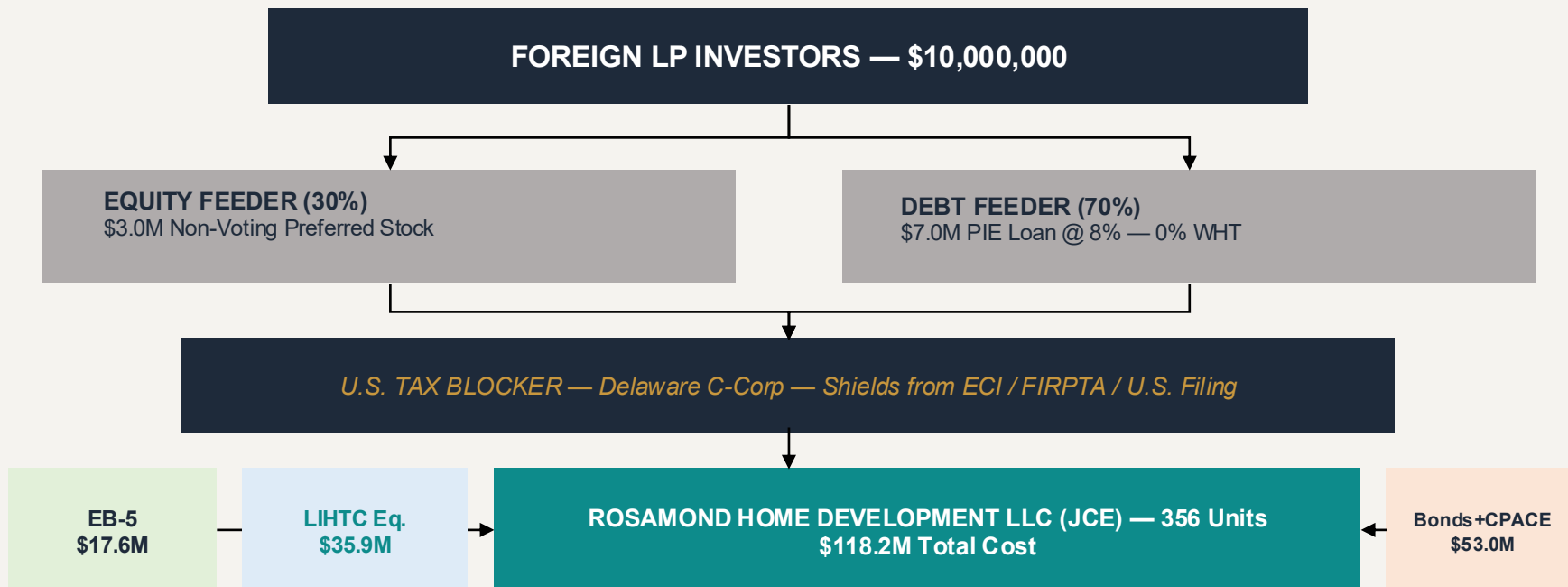
5-Yr Net IRR
(With Blocker)

16.3%

10-Yr Net IRR
(With Blocker)

CORPORATE STRUCTURE & TAX BLOCKER

30/70 Leveraged Delaware C-Corp with PIE Debt + §302 Exit Redemption



KEY RESULT: Foreign investors avoid all U.S. tax filings, maintain full anonymity, and receive capital at 0% WHT on both loan repayment and stock redemption.

TAX BLOCKER ADVANTAGE

+584 bps IRR (5-Year) | +621 bps (10-Year) vs. direct foreign investment

Metric	WITH Blocker	WITHOUT Blocker
U.S. Tax Filing Required	No — Blocker files all returns	Yes — Form 1120-F required
Foreign Investor Identity	Full offshore anonymity	Requires U.S. TINs
Effective Tax Rate (Ops)	~1.0% (5yr) ~4.0% (10yr)	44.7%
5-Year Net IRR	13.91%	8.07%
10-Year Net IRR	16.30%	10.09%
5-Year Total Net Cash	\$17,453,012	\$14,215,750
10-Year Total Net Cash	\$29,819,361	\$21,645,341
5-Year Equity Multiple	1.75x	1.42x
10-Year Equity Multiple	2.98x	2.16x
Cash Advantage	+\$3.2M (5yr) +\$8.2M (10yr)	—

EB-5 ADVANTAGE & DEBT OPTIMIZATION

EB-5 CAPITAL: ASYMMETRIC ECONOMICS

- 22 investors x \$800K = \$17.6M at below-market returns
- No 8% preferred return — motivated by green card
- LP gets 20% of residual cash flow with reduced equity
- Patient, locked-up capital (5–8+ year immigration timeline)
- 1,500+ jobs created vs. 220 required — 7x margin of safety

C-PACE + LIHTC: IMPLEMENTED

- C-PACE: \$25M at 6.0% (non-recourse, 30yr amortizing)
- Tax-Exempt Bonds: \$28M at 4.0% (35yr, PAB)
- LIHTC Equity: \$35.9M non-repayable tax credits
- HERA Military Exception: BAH excluded from income tests
- LP equity reduced 41% (\$17M → \$10M)
- LP IRR 15.9% (5yr) vs. 8.85% base case — actual, not est.

BASE CASE vs. C-PACE + LIHTC

Metric	Base Case	C-PACE + LIHTC	Improvement
LP Equity Required	\$17,000,000	\$10,000,000	-41%
Annual Debt Service	\$5,621,872	\$3,318,641	-\$2.3M/yr
DSCR	1.16x	2.18x	+1.02x
5-Yr LP Multiple	2.18x	1.89x	-0.29x
10-Yr LP Multiple	3.27x	3.24x	-0.03x
5-Yr LP IRR	8.85%	15.9%	+7.1 pts
10-Yr LP IRR	10.4%	17.9%	+7.5 pts

RISK FACTORS & MITIGANTS

Risk Factor	Mitigant
Construction cost overruns	Fixed-price GC contract; 8.5% contingency; modular construction approach; build per local demand
Lease-up delay	Military BAH demand floor; only 12–15 competing rentals; 50%/85% conservative assumption
Interest rate risk	C-PACE + LIHTC bonds lock in 4.0–6.0% long-term rates; no floating exposure
Military base closure	Edwards is sole USAF flight test center; B-21 ensures decades of activity; Plant 42 backup
Entitlement risk	R-3 zoning in place; ADUs by-right under CA law; TTM application in progress
EB-5 regulatory changes	EB-5 Reform Act of 2022 provides certainty; job creation exceeds requirements by 7x
Tax law changes	30/70 blocker based on longstanding IRC provisions; treaty alternatives available
CA regulatory environment	Kern County is development-friendly; no rent control in unincorporated areas

INVESTMENT SUMMARY

13.9%

5-Yr Net IRR
(With Blocker)

16.3%

10-Yr Net IRR
(With Blocker)

1.75x

5-Yr Equity
Multiple

2.98x

10-Yr Equity
Multiple

- ✓ Zero U.S. tax filings — full offshore anonymity maintained
- ✓ DoD-backed rental demand via BAH — 95%+ occupancy floor
- ✓ Asymmetric LP economics: 8% Preferred + 20% residual cash flow for 8.5% of capital contribution
- ✓ C-PACE + LIHTC capital stack reduces equity 41% while boosting IRR
- ✓ Capital repatriation at 0% WHT on both loan and stock redemption

Corbrus Capital Group

This memorandum is confidential and intended solely for the recipient.